



VS



Comparative Investment Analysis

Group 1: Nuhad · Derek · Steven · Rohin · Neil · Nora

Company Overview · Amazon



Founded: 1994 by Jeff Bezos

HQ: Seattle, WA

CEO (2026): Andy Jassy

Industries: E-Commerce · AWS · Streaming

About Amazon

Amazon originally started as an online book service. Eventually, it grew into general e-commerce. It is one of the biggest marketplaces online with a worldwide selection.

They branched into digital streaming with Amazon Prime Video. They have hundreds of millions worldwide and currently operate in over 100 countries.

Company Overview · Walmart



Founded: 1962 by Sam Walton

HQ: Bentonville, AR

CEO (2026): Doug McMillon

Industries: Retail · Grocery · E-Commerce

About Walmart

Walmart is one of the world's largest retailers. Walmart is known for its low prices while having both strong physical and online presence. In their stores, they have retail and groceries available.

They have plenty of private labels available at their stores. They have over 10,000 stores available worldwide and serve millions of customers. They are a leading company for groceries and getting essentials for home.

Business Model • Amazon

Customer Segments	Values	Revenue Streams	Channels	Costs
• Online consumers • Third party sellers • Enterprises (AWS) • Advertisers	• Convenience • Selection • Low Prices	• Product Sales • Seller Fees • Prime Subscriptions • AWS • Advertising	• Website/app • Prime • Marketplace	• Shipping • Infrastructure • Marketing • Labor

Key Insight: High profit margins from AWS and ads

Business Model • Walmart

Customer Segments	Values	Revenue Streams	Channels	Costs
• Value-conscious shoppers • Mass consumers • Small businesses	• EDLP • Convenience • "One-stop" shopping experience	• Product Sales • Walmart + subscribers • Ads	• Retail Stores • Website/app • Pickup/delivery	• Stores • Labor • Inventory • Logistics

Key Insight: Profits from selling high volumes at low prices

Financials • Amazon

\$716–717B

Revenue 2025

\$77.7B

Net Income

10.8%

Profit Margin

10–15%

Annual Growth

Revenue Breakdown

Business Mix:

E-commerce + Cloud (AWS) + Advertising + Services

AWS Contribution:

AWS ≈ ~17–18% of revenue but ~50% of profits

Key Strengths:

- High-margin cloud business (AWS)
- Fast growth & innovation
- Dominates global e-commerce

Key Weaknesses

- More volatile earnings
- High operating costs in logistics

Amazon = diversified tech giant with high growth & higher profitability

Financials • Walmart

\$681B

Revenue 2025

\$19.4–20.2B

Net Income

2.9%

Profit Margin

~5%

Annual Growth

Business Model

- Primarily physical retail + groceries
- ~90% revenue from core retail operations

Key Strengths:

- Largest global retailer (by store presence)
- Strong supply chain & low-cost leadership
- Rapidly growing e-commerce

Key Weaknesses

- Very thin profit margins
- Slower growth vs tech companies

Walmart = high sales volume, low profit margin, stable growth

Equity Analysis · Amazon

\$2.58T

Market Cap

+33.4%

1-Yr Return

33.44x

P/E Ratio

22.3%

ROE

- As of April 13, 2026, Amazon currently has a market capitalization of \$2.58T and its shares currently trade at around \$239.89
- Over the past year it has returned 33.38% while the S&P 500 has returned 28.41% over the same period (April 11, 2025 - April 13, 2026)
- EPS of \$7.17
- P/E ratio of 33.44, which is higher than the S&P500's average PE of approximately 29
- Its ROE is 22.29% and its ROIC is 13.77%, demonstrating strong capital allocation and returns for shareholders
- P/FCF of 347.40, which is over 450% higher than its 10 year median of about 62
- Decreasing Free Cash Flow in recent quarters due in part to massive AI infrastructure spending



Amazon.com Inc

NASDAQ: AMZN ⓘ

239.89 USD

+69.92 (41.14%) ↑ past 5 years

Closed: Apr 13, 7:59 PM EDT • [Disclaimer](#)

After hours 239.85 -0.040 (0.017%)

1D | 5D | 1M | 6M | YTD | 1Y | **5Y** | Max



Open	237.45	Mkt cap	2.58T	Dividend	-
High	240.00	P/E ratio	33.44	Qtrly Div Amt	-
Low	235.75	52-wk high	258.60	52-wk low	165.28

Equity Analysis · Walmart

\$993B

Market Cap

+36.6%

1-Yr Return

45.64x

P/E Ratio

22.97%

ROE

- As of April 13, 2026, Walmart has a market capitalization of \$993.04B and it currently trades at around \$124.56
- Over the past year it has returned 36.61%, compared to the S&P 500's return of 28.41% over the same period (April 11, 2025 - April 13, 2026)
- EPS of \$2.74
- PE ratio of 45.64, which is higher than its historical mean PE of around 31.56 over the last 10 years
- Its ROE and ROIC are 22.97% and 14.21%
- Current P/FCF of 66.81, which is approximately 200% above its 10 year median of 21.76



Walmart Inc

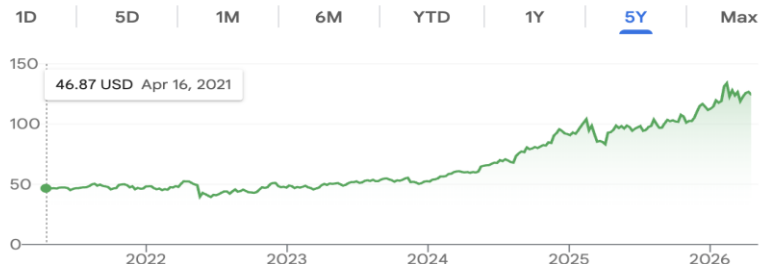
NASDAQ: WMT

124.56 USD

+77.69 (165.76%) ↑ past 5 years

Closed: Apr 13, 7:59 PM EDT • [Disclaimer](#)

After hours 124.64 +0.080 (0.064%)



Open	126.29	Mkt cap	993.04B	Dividend	0.79%
High	126.30	P/E ratio	45.64	Qtrly Div Amt	0.25
Low	123.95	52-wk high	134.69	52-wk low	90.61

Growth Prospects and Potential · Amazon

Amazon's future is reliant in 3 main areas: Cloud, AI, and Ads

1 AWS (Cloud)

Amazon's cloud business is projected to grow 30% as more and more companies are moving their company operations online where Amazon is one of the biggest in that market

2 AI Spending

Amazon has spent \$125 Billion on AI infrastructure in 2025 and is building new data centers for US Gov agencies which will start building in 2026

3 Ads

The advertising business such as sponsored listings on Amazon and is expected to make 10% of their total revenue with 50% profit margins which makes it one of Amazon's most lucrative segments

4 Delivery & E-commerce

U.S online sales grew 11% and internationally grew 14% in Q3 of 2025 with same day delivery expanding continuing to expand.

Growth Prospects and Potential · Amazon Continued

Globalstar (GSAT) Acquisition

- Recent acquisition of Globalstar (GSAT) for roughly \$11 billion pushes the company into the space infrastructure race
- Can leverage its existing entities including its LEO satellite network and AWS to create a vertically integrated system
- Now competing both directly and indirectly with SpaceX/Starlink and AST SpaceMobile (ASTS)



Growth Prospects and Potential · Walmart

Walmart is transforming from a big box store into a tech driven retailer

1

Online Sales

Walmart's e-commerce grew 27% in its most recent quarter which marks the seventh consecutive above 20% growth with half the orders being shipped from physical stores.

2

Ads

Walmart's advertising revenue has gone up 53% from turning their app and website into a platform to make money similar to what Amazon has done with their sponsored listings

3

Walmart+ Membership

Walmart has their own version of Amazon Prime which recently grew 17% globally and is now turning into a reliable income stream.

Conclusion

Key Takeaways

- Both Walmart and Amazon are dominant companies in their respective spaces, however, both are focusing on different growth drivers and deploying capital differently for the future
- Amazon is investing heavily in AI infrastructure and is expanding its business in order to capitalize on the increased demand for data and connectivity
- This can be seen through its significant investments in cloud (AWS) and its recent acquisition of GlobalStar in order to provide direct-to-device connectivity and move closer to creating vertically integrated ecosystems
- This means that you are essentially paying higher multiples today in exchange for a potential increase in earnings and market share of critical infrastructure in the future
- In terms of Walmart, it is transitioning to becoming more tech-driven with its investments focused on its app, its advertising presence, and its Walmart+ membership



Conclusion (Continued)

Continued

- The company will continue to be a reliable generator of cash flow and continue to have a consistent business model through its retail operations
- This likely signals that we will see much of the same from its shares in terms performance and long-term prospects

Recommendation • Amazon

The Amazon logo, featuring the word "amazon" in a bold, black, sans-serif font. A curved orange arrow starts under the letter 'a' and points towards the letter 'z'.

BUY

Recommendation

Rationale

- The company has high potential for growth. It is driven by their web service, strong advertising and investments into AI.
- Expansion into newer markets/technologies can allow for the company to see long term dominance.
- With a higher diversified business model, Amazon can grow even further with their multiple streams of revenue putting them at a higher competitive advantage in comparison to their competitors.

Recommendation • Walmart



HOLD

Recommendation

Rationale

- Consistent business model with high quality earnings and increasing margins through its technology focus, which should help its earnings over the long term and subsequently its equity
- However, it is trading at premium valuations both in terms of the market and itself historically, with ratios and valuations well above average

Sources

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